

find exact duplicates, but even relative performance comparisons can yield insights.

It's worth pointing out that quality of management by itself is not sufficient to attract Buffett's interest. No matter how impressive management is, he will not invest in people alone, because he knows there is a point where even the brightest and most capable managers cannot rescue a difficult business. Buffett has been fortunate to work with some of the brightest managers in corporate America, including Tom Murphy and Dan Burke at Capital Cities/ABC, Roberto Goizueta and Donald Keough at Coca-Cola, and Carl Reichardt at Wells Fargo. However, he's quick to point out, "If you put these same guys to work in a buggy whip company, it wouldn't have made much difference."¹⁹ He adds, "When a management with a reputation for brilliance tackles a business with a reputation for poor fundamental economics, it is the reputation of the business that stays intact."²⁰

Financial Tenets

The financial tenets by which Buffett values both managerial excellence and economic performance are all grounded in some typically Buffett-like principles. For one thing, he does not take yearly results too seriously. Instead, he focuses on five-year averages. Profitable returns, he wryly notes, don't always coincide with the time it takes the planet to circle the sun. He also has little patience with accounting sleight-of-hand that produces impressive year-end numbers but little real value. Instead, he is guided by these four principles:

1. Focus on return on equity, not earnings per share.
2. Calculate "owner earnings" to get a true reflection of value.
3. Look for companies with high profit margins.
4. For every dollar retained, make sure the company has created at least one dollar of market value.

Return on Equity